Planning

Exam code: 9BS0

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Using a business plan to obtain finance

- A business plan is a document produced by the owner at start-up, which provides forecasts of items such as sales, costs and cash flow
- The main **aim** of producing a **business plan** is to reduce the risk associated with starting a new business
- Producing a business plan forces the owner to think about every aspect of the business **before they start**, which should **reduce the risk** of failure
  - It shows potential lenders or investors that the **business has done its research**
- Producing a business plan allows lenders (e.g. banks) and other investors to analyse the plan and **make an informed decision** about providing a loan
  - Business angels will analyse whether there is an opportunity to **increase the value of their investment** and make a worthwhile profit
- Having carried out research to support the plan, the business will be **well-informed about the potential problems and the chance of success** and can select the most appropriate source of finance based on this information
- Most high street banks can provide a detailed **template** for business owners to complete when applying for finance

Interpreting cash flow forecasts

- A cash flow forecast is a prediction of the anticipated **cash inflows** and **cash outflows**, typically for a six- to twelve-month period
- A detailed business plan should include a **cash flow forecast** that allows the business owners to identify the business's financial needs

Stuck on something?

Ask questions and get help with exactly what you're revising.

Got it

Key terminology and an example

balance carried forward
- The **closing balance** is calculated by adding the net cash flow to the opening balance

Example of a start-up's six-month cash flow forecast (£)

	Jan	Feb	Mar	Apr	May	
Inflows						
Cash received from sales	2,600	2,800	3,100	4,600	4,800	5
Capital introduced	6,000	0	0	0	0	
Total inflows	8,600	2,800	3,100	4,600	4,800	5
Outflows						
Inventory	1,500	850	950	1,300	1,350	1
Wages	2,200	2,200	2,200	2,200	2,200	2
Utilities	840	840	840	882	882	
Loan repayments	0	284	284	284	284	
Miscellaneous	230	240	250	410	260	
Total outflows	4,770	4,414	4,524	5,076	4,976	5
Net cash flow	3,830	(1,614)	(1,424)	(476)	(176)	
Opening balance	500	4,330	2,716	1,292	816	
Closing balance	4,330	2,716	1,292	816	640	

Analysis of the cash flow forecast example

Summary

- Overall, this cash flow forecast **supports an application for the business to borrow £6,000** in January to cover the initial low inflows, significant outflows and **negative net cash flow**
- As sales increase from June, **inflows are greater than outflows**, and the business **has positive cash flow**

Help me understand

January

- The cash flow forecast assumes that the bank approves a £6,000 loan in January (capital introduced)
- The opening balance of £500 has been introduced by the owner
- The business is expected to achieve sales of £2,600
- Total inflows are therefore expected to be £8,600 (£2,600 + £6,000)
- Total outflows are expected to be £4,770
- The **net cash flow** is expected to be £3,830 (£8,600 – £4,770)
- January's closing balance is expected to be £4,330 (£3,830 + £500)

February

- The closing balance from January becomes the opening balance for February
- Sales of £2,800 are expected to be the business's total inflows
- Total outflows are expected to be £4,414
- The net cash flow is expected to be –£1,614 (£2,800 - £4,414)
- The closing balance is expected to be £2,716 (–£1,614 + £4,430)

March

- The closing balance from February becomes the opening balance for March
- The business expects to achieve sales of £3,100 as its total inflows
- Total outflows are expected to be £4,524
- The net cash flow is expected to be –£1,424 (£3,100 – £4,524)
- The closing balance is expected to be £1,292 (–£1,424 + £2,716)

April

- The closing balance from March becomes the opening balance for April
- Sales of £4,600 are expected to be the business's total inflows
- Total outflows are expected to be £5,076
- The net cash flow is expected to be –£476 (£4,600 – £5,076)
- The closing balance is expected to be £816 (–£476 + £1,292)

May

- The closing balance from April becomes the opening balance for May
- The business expects to achieve sales of £4,800 as its total inflows
- Total outflows are expected to be £4,976
- The net cash flow is expected to be –£176 (£4,800 – £4,976)
- The closing balance is expected to be £640 (–£176 + £816)

balance for June

- Sales of £5,200 are expected to be the business's total inflows
- Total outflows are expected to be £5,026
- The net cash flow is expected to be £174 (£5,200 – £5,026)
- The closing balance is expected to be £814 (£174 + £640)

Worked Example

Here is a simple three-month cash flow forecast for a small seaside café.

	March	April	May
Inflows			
Sales	46,000	54,000	61,000
Outflows			
Inventory	13,000	13,000	13,000
Wages	28,000	28,000	28,000
Miscellaneous	3,500	4,000	4,000
Total outflows	44,500	45,000	45,000
Net cash flow	1,500	9,000	16,000
Opening balance	4,000	5,500	14,500
Closing balance	5,500	14,500	30,500

The café owner thinks that good weather will increase the volume of customers and decides to appoint another full-time assistant in March. As a result, wages increase to an expected £31,000 per month.

Calculate the closing balances in the cash flow forecast resulting from the changes above [4]

	March	April	May
Inflows			
Sales	46,000	54,000	61,000
Outflows			
Inventory	13,000	13,000	13,000
Wages	**31,000**	**31,000**	**31,000**
Miscellaneous	3,500	4,000	4,000
Total outflows	47,500	48.000	48,000
Net cash flow	(1,500)	6,000	13,000
Opening balance	4,000	2,500	8,500

Step 1: Insert the value of the new wages into the relevant space for each month

Step 2: Calculate the new total outflows for each month and insert them into the relevant space for each month

$$\text{March: } £13{,}000 + £31{,}000 + £3{,}500 = 47{,}500$$
$$\text{April: } £13{,}000 + £31{,}000 + £4{,}000 = 48{,}000$$
$$\text{May: } £13{,}000 + £31{,}000 + £4{,}000 = 48{,}000$$

Step 3: Calculate the new net cash flow for each month and insert it into the relevant space for each month

$$\text{March: } £46{,}000 - £47{,}500 = -£1{,}500$$
$$\text{April: } £54{,}000 - £48{,}000 = £6{,}000 \quad [1]$$
$$\text{May: } £61{,}000 - £48{,}000 = £13{,}000$$

Step 4: Calculate and insert the new closing balance for March and carry it forward as the opening balance for April

$$= £4{,}000 + -£1{,}500 \quad [1]$$
$$= £2{,}500$$

Step 5: Calculate and insert the new closing balance for April and carry it forward as the opening balance for May

$$= £2{,}500 + £6{,}000 \quad [1]$$
$$= £8{,}500$$

Step 6: Calculate and insert the new closing balance for May

$$= £8{,}500 + £13{,}000 \quad [1]$$
$$= £21{,}500$$

Note that this one change in the anticipated cost of wages impacts **four other variables**:

- Total outflows
- Net cash flow
- Opening balance (except March's)
- Closing balance

Examiner Tips and Tricks

When calculating opening and closing balances, work through each month in turn.

Always double-check your calculations in cash flow forecasts, as one mistake will have a knock-on effect elsewhere and, in some cases, lead you to make inaccurate judgements.

Evaluating cash-flow forecasts

Uses	Limitations
• Cash flow forecasts can **support an application** for a loan and are an integral part of the business plan • They can help identify where the business may experience **cash shortfalls or cash surpluses** so that plans can be made to manage these periods (e.g. arranging an overdraft) • Cash flow forecasts **aid planning** and help a business avoid costly mistakes	• Forecasts are usually based on **estimates**, and in reality, inflows and outflows may differ significantly from the estimates • Cash flow forecasts **require appropriate skills, insight, research and time** to prepare and update adequately • **External factors** that can impact inflows and outflows may not be reflected in the cash flow forecast

Examiner Tips and Tricks

Look for clues in the case study about the reliability of the forecast and draw some judgements on the reliability of the forecast presented.

New entrepreneurs find it especially difficult to create accurate forecasts, as they have little experience to draw on. They often make use of free advice and guidance (e.g. from banks) or conduct significant research to support their forecasts. In these cases, the cash flow forecast is likely to be an excellent tool for planning. Where the cash flow forecast is constructed without such care, it can hinder business progress and undermine the business plan as a whole.

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